

Metric Category	Metric	Value / Description	Assessment (Sustainable/Repeatable/Cash-Convertible/Inflated)	Comments & Context
Valuation Ratios	P/E Ratio	2.6x	Sustainable / Repeatable	Very low P/E suggests undervaluation; earnings appear real given cash flow conversion. Source: data/STVG/STVG_agent_ratios.md
	EV/EBITDA	5.9x	Monitor	Moderate valuation; EBITDA quality supported by cash flow conversion. Source: data/STVG/STVG_agent_ratios.md
	EV/Revenue	0.3x	Inflated (Fail)	Market values sales very low; possibly reflecting growth concerns. Source: data/STVG/STVG_agent_ratios.md
	Price to Free Cash Flow	3.9x	Inflated (Fail)	Low multiple but FCF yield strong; suggests cash flow is real. Source: data/STVG/STVG_agent_ratios.md
	Free Cash Flow Yield	25.7%	Sustainable / Cash-Convertible	Strong cash generation relative to market cap. Source: data/STVG/STVG_agent_ratios.md
Profitability Ratios	Gross Margin	45.6%	Sustainable	High margin indicates good cost control. Source: data/STVG/STVG_agent_ratios.md
	Operating Margin	8.9%	Monitor	Moderate margin; room for operational improvement. Source: data/STVG/STVG_agent_ratios.md
	Net Margin	5.7%	Sustainable	Positive net margin; earnings are profitable. Source: data/STVG/STVG_agent_ratios.md
	ROE	-167.4%	Inflated (Fail)	Negative equity distorts ROE; not sustainable. Source: data/STVG/STVG_agent_ratios.md
	ROCE	17.4%	Sustainable	Good returns on capital employed excluding equity distortion. Source: data/STVG/STVG_agent_ratios.md
Liquidity Ratios	Current Ratio	1.5x	Monitor	Borderline adequate liquidity; watch working capital. Source: data/STVG/STVG_agent_ratios.md
	Quick Ratio	1.0x	Sustainable	Adequate liquidity excluding inventory. Source: data/STVG/STVG_agent_ratios.md

Metric Category	Metric	Value / Description	Assessment (Sustainable/Repeatable/Cash-Convertible/Inflated)	Comments & Context
Leverage Ratios	Debt-to-Equity	-5.2	Inflated (Fail)	Negative equity; financial distress signal. Source: data/STVG/STVG_agent_ratios.md
	Interest Coverage	1.5x	Inflated (Fail)	Weak ability to cover interest; risk factor. Source: data/STVG/STVG_agent_ratios.md
	Net Debt/EBITDA	2.9x	Monitor	Moderate leverage; manageable but watch covenant compliance. Source: data/STVG/STVG_agent_ratios.md
Efficiency Ratios	Inventory Turnover	7.1x	Sustainable	Efficient inventory management. Source: data/STVG/STVG_agent_ratios.md
	Days Sales Outstanding	16 days	Sustainable	Excellent receivables collection. Source: data/STVG/STVG_agent_ratios.md
Earnings Quality	Accruals Ratio	2.5%	Sustainable	Low accruals indicate earnings quality. Source: data/STVG/STVG_agent_ratios.md
	EBITDA to FCF Conversion	76.0%	Sustainable	Strong cash conversion from EBITDA. Source: data/STVG/STVG_agent_ratios.md
	Adjusted vs Statutory Gap	0.0%	Sustainable	No significant adjustments; transparent reporting. Source: data/STVG/STVG_agent_ratios.md
Asset Quality	Goodwill/Assets	12.0%	Sustainable	Limited goodwill risk. Source: data/STVG/STVG_agent_ratios.md
	Capex/Depreciation	0.0	Monitor	Low reinvestment; potential risk for asset base. Source: data/STVG/STVG_agent_ratios.md
	Tangible Book Value	-£33.2m	Inflated (Fail)	Negative tangible equity; accumulated losses. Source: data/STVG/STVG_agent_ratios.md
Cash Flow Ratios	Cash Conversion	0.8	Monitor	Slightly below ideal; watch cash flow trends. Source: data/STVG/STVG_agent_ratios.md
	Free Cash Flow	£7.3m	Sustainable	Positive free cash flow supports earnings quality. Source: data/STVG/STVG_agent_ratios.md

Summary Analysis:

- **Valuation:** STV Group is trading at very low multiples, especially P/E and EV/Revenue, indicating the market discounts the company possibly due to financial risks or growth concerns. However, the strong free cash flow yield and positive

cash flow conversion support the sustainability of earnings.

- **Profitability:** The company maintains strong gross margins and positive net margins, with ROCE indicating efficient use of capital. The negative ROE is a red flag caused by negative equity, reflecting accumulated losses and intangible asset dominance.
- **Liquidity and Leverage:** Liquidity ratios are borderline adequate, with a current ratio at 1.5x and quick ratio at 1.0x. Leverage is moderate but interest coverage is weak at 1.5x, indicating risk in servicing debt. The negative equity and debt-to-equity ratio reflect financial distress.
- **Efficiency:** Inventory turnover and receivables collection are strong, indicating operational efficiency.
- **Earnings Quality:** Low accruals, strong EBITDA to free cash flow conversion, and no gap between adjusted and statutory earnings indicate high earnings quality and transparency.
- **Asset Quality:** Goodwill is a modest portion of assets, but the negative tangible book value and zero capex to depreciation ratio suggest underinvestment in fixed assets and accumulated losses.
- **Cash Flow:** Positive free cash flow and reasonable cash conversion ratio support the sustainability of earnings and ability to fund operations.
- **Accounting Policies and Risks:** Revenue recognition policies are standard and conservative, with clear disclosure of deferred revenue on licensing. The going concern statement is supported by refinancing and covenant compliance forecasts, though downside scenarios show some risk. Adjusting items are disclosed and appear reasonable.
- **Auditor's Report:** The audit opinion is unqualified with no material issues raised. Key audit matters focus on revenue cut-off and acquisition valuation, both addressed satisfactorily.
- **Ownership and Governance:** The shareholder base is concentrated with institutional investors, and governance changes are disclosed transparently. Dividend policy is consistent with earnings.

Conclusion:

STV Group's financials show a company with solid operational profitability and cash flow generation but burdened by negative equity and weak interest coverage, reflecting past losses and financial leverage. Earnings quality is high, with good cash conversion and transparent reporting. The valuation multiples suggest the market is cautious, likely due to financial risks rather than operational performance.

The company's liquidity and refinancing arrangements appear adequate for the near term, but interest coverage and negative equity warrant monitoring. The low reinvestment in fixed assets could pose risks to long-term asset sustainability.

Overall, STV Group presents a fundamentally undervalued opportunity with real, repeatable earnings and cash flow, but with financial risks that investors must watch closely. The earnings are sustainable and cash-convertible, but the capital structure and equity position are inflated risk factors.

No additional information is required based on the provided files.

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